

Paper LBO

	Forecast Period					
<i>P&L (\$ in million)</i>	2022	2023	2024	2025	2026	2027
Revenue	3,850	4,120	4,408	4,716	5,047	5,400
Cogs	-1,230	-1,234	-1,320	-1,412	-1,511	-1,617
Gross Profit	2,620	2,886	3,088	3,304	3,535	3,783
Operating expenses	-890	-870	-931	-996	-1,066	-1,140
EBITDA	1,730	2,016	2,157	2,308	2,470	2,642
D&A	-300	-320	-320	-320	-320	-320
EBIT	1,430	1,696	1,837	1,988	2,150	2,322
Interest expenses	-250	-683	-632	-569	-494	-406
EBT	1,180	1,013	1,205	1,419	1,655	1,916
Taxes	-236	-203	-241	-284	-331	-383
Net Income	944	810	964	1,135	1,324	1,533
KPIs						
Revenue growth %	n.a.	7%	7%	7%	7%	7%
Cogs %	-32%	-30%	-30%	-30%	-30%	-30%
Opex %	-23%	-21%	-21%	-21%	-21%	-21%
EBITDA %	45%	45%	45%	45%	45%	45%
Cash flow (\$ in million)						
Net Income	944	810	964	1,135	1,324	1,533
Add-back D&A	300	320	320	320	320	320
Change in Working Capital	-50	41	44	47	50	54
CAPEX	-300	-320	-320	-320	-320	-320
Free cash flow	894	851	1,008	1,182	1,375	1,587
Debt Schedule						
Term A Outstanding	5,190	4,790	4,390	3,990	3,590	3,190
Term B Outstanding	6,055	5,604	4,996	4,213	3,239	2,052
Term A Interest Expense		-260	-240	-220	-200	-180
Term B Interest Expense		-424	-392	-350	-295	-227
Term A Repaid		400	400	400	400	400
Term B Repaid		451	608	782	975	1,187
Debt Outstanding (end of 2027)						
Term A	3,190					
Term B	2,052					
EV exit	22,405					
Net Debt	5,242					
Equity exit	17,163					
Investor cash flow		-3,424	0	0	0	17,163
IRR	49.6%					

Cash-on-cash 5.0

Sensitivity analysis:-

	8.5	8	7.5	7.2	6.8	6.5
7%	50%	47%	44%	42%	39%	37%
6%	47%	44%	41%	39%	36%	33%
5%	44%	41%	37%	35%	32%	30%
4%	41%	37%	34%	32%	29%	27%
3%	37%	34%	31%	29%	25%	23%

Company Data (\$ in million)

Share price	5.7
Shares outstanding	1,300
Market Cap	7,345
Net Debt	5,120
Tax rate	20%

EBITDA Multiple

Term A	3.0 x
Term B	3.5 x

Interest rate

Term A	5%
Term B	7%

Term A	5,190
Term B	6,055

Debt Capacity 11,245

Acquisition premium	30%
Acquisition price	9,549
EV at Acquisition	14,669
EV / EBITDA Multiple	8.5
Equity needed	3,424

Debt Covenants

Dividends not to be distributed before the end of 2027
Minimum payment for Term A is \$400m per year